In 1958, the bank conducted an evaluation of the working of the scheme and came to the conclusion that though the progress achieved at all the nine centres was ‘neither remarkable nor uniform’ the scheme had on the whole worked well. On the basis of this report, the bank took measures to extend the scheme (with liberalization in procedures) to all its branches by 1959. Other measures included fixing the rate of interest at 6 percent, enlarging the list of commodities acceptable as security, imparting training to staff, and giving the scheme wider publicity. Thus by the early 1960s, financing of small-scale industries had become a part of the normal business of the bank.

However, the position stagnated after a while, and in 1962, the bank undertook a study of its activities in providing credit to small-scale industries. Talwar who was the Deputy Secretary and Treasurer at Madras was nominated as part of a two member study team to find out the causes of slow progress in finance to the small-scale industry. The other member was B.K. Chatterji, staff officer in-charge of the small-scale industries section in the central office. Talwar who was posted to Madras in early 1962, had started visiting small-scale industries in Madras and Guindy industrial estate to familiarize himself with their problems and the changes the bank could make in its policies and practices to help them.

The study team identified several reasons for the lack of progress. The branch agents lacked understanding of the problems of this sector and were therefore hesitant and unenthusiastic. The scheme was operated in a rigid manner with the development departments at the LHO unable to provide guidance to the branches. The absence of bolder directives from the central office was also responsible for a lack of momentum. The report was accepted and the recommendations sent to the Circles for implementation.

The bank initiated various measures to remedy the position. Branch agents were trained at the staff college in Hyderabad and at the LHOs, and seminars were held for this purpose. The branch agents were given greater discretionary powers and sub-agents were posted to take over the work relating to small-scale industries at centres where such a step was justified. A Chief Development Officer and a Development Officer were posted to strengthen the Development Department at LHOs. Also, the emphasis was sought to be shifted from the financial worth of the entrepreneur and the